

universal and meaningful connectivity, inclusive digital public infrastructure, and AI for sustainable development and inequality reduction.

Cash-lite

Although not fully cashless, countries like Japan, Spain and France are increasing digital payment adoption, with between 60% and 67% preferring cashless payments in 2021, according to the World Economic Forum.

Malatsi said South Africa is steadily progressing toward a cash-lite society, with digital payment systems increasingly adopted across sectors.

"Innovations in mobile money, banking apps, QR codes and fintech platforms are driving this change. For this transition to be equitable, it must be accompanied by digital access and financial literacy. Instant electronic payment schemes like PayShap are making it easier for South Africans to use digital payments," he said.

The government aims to accelerate this trend through regulatory support and improved digital infrastructure, ensuring all South Africans, regardless of location or income, can participate. This will also help government save resources on printing, storing, transportation and security.

DPI is essential to building a modern and responsive government. The launch of the Digital Transformation Roadmap for Government reflects this.

South Africa is laying the groundwork for digital ID systems, secure e-payment platforms and integrated public service portals.

According to Malatsi, this will create a government that is transparent, citizen-focused and digitally enabled.

Benefits include improved service delivery through faster, more transparent public services enabled by data interoperability; economic empowerment via digital entrepreneurship, fintech growth and digital skills employment; reduced inequality through expanded access to information, digital tools and markets; and enhanced international competitiveness by aligning digital infrastructure and governance with global standards.

AI ethics

South Africa is also committed to an ethical AI future that reflects the country's identity, values and constitutional rights.

"We believe AI should promote human dignity, equity and inclusion. Our approach prioritises transparency, fairness and safeguards against bias. This means AI systems must understand our diverse languages, support local innovation and not reinforce existing inequalities.

"We are finalising the National AI Policy to guide ethical development and deployment, informed by local research, global best practices and public consultation."

Speaking at the G20 Digital Economy Working Group and Task Force on AI in the Eastern Cape earlier this year, Malatsi said the digital divide, if unaddressed, will become the new face of global inequality. But through cooperation, the digital revolution can drive unprecedented inclusion and equity.

This includes bilateral partnerships with countries such as India, China, Brazil and members of the European Union on digital infrastructure, skills training and innovation exchanges.

South Africa will also participate in global platforms such as the G20 Digital Economy Working Group, the UN's Global Digital Compact process and African Union digital economy initiatives.

